THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
NAMANGA SECONDARY SCHOOL
FORM FOUR PRE-MOCK EXAMINATION
061 COMMERCE
MARKING SCHEME APRIL 2025

SECTION A (16 MARKS)

1.

(i)	(ii)	(iii)	(iv)	(v)	(vi)	(vii)	(viii)	(ix)	(x)
A	B	E	D	C	C	B	B	D	C

01 mark @ = 10 Marks

2.

COLUMN A	(i)	(ii)	(iii)	(iv)	(v)	(vi)
COLUMN B	B	H	C	A	D	G

01 mark @ = 06 marks

SECTION B (54 MARKS)

3. Importance of Commerce in daily business environment.
   (a) Create employment opportunities
   (b) Raise living standard of the people
   (c) Provide protection of the goods **05 points @ 1.8 marks = 09 marks**
   (d) Compensation of losses through insurance
   (e) Facilitate availability of goods and services in the market
   (f) Links production and consumers

4. Sources of business opportunities
   (a) Customer complains
   (b) Media
   (c) Personal skills and experience **05 points @ 1.8 marks = 09 marks** (d) Survey
   (e) Exhibitions
   (f) Brain storming

5. Procedures of taking up insurance
   (a) Making an inquiry
   (b) Filling insurance proposal form
   (c) Inspection and assessment
   (d) Payment of premium and receiving cover note
   (e) Issue of insurance policy
   05 points @ 1.8 marks = 09 marks

6. Challenges facing transport sector
   (a) Adverse weather condition
   (b) Highway robbery
   (c) Traffic Jam (congestion)
   (d) Inadequate public transport services
   (e) Lack of enough education and skills
   (f) Limited network
   (g) High cost of construction and management
   6 points @ 1.5 marks = 09 marks

7. To differentiate terminologies

(a) Tax is amount of money that people compulsorily pay to the government for public use. While Taxation: Is the system of raising revenue by the government from individuals, business and companies.

(b) Direct tax is the tax which is levied on individual, companies and organizations incomes and property. While
Indirect tax is the tax which is levied on goods and services bought.

(c) Impact is the initial place where the government ta is legally imposed and collected while Incidence is the final vesting place of the tax. It is who actually pax, the tax.
06 points @ 1.5 marks = 09 marks

8. Importance of business communication
(a) Facilitate customers in making choice (b) Facilitate business transactions
(c) Quick sending of parcels and samples
(d) Improving customer services
(e) Good reputation
(f) Greater efficiency
(g) Improves public relation
05 points @ 1.8 marks = 09 marks

SECTION C (30 MARKS)

9. Challenges in registering business and their solution.
(a) The process is cost full
Government should reduce the cost to make it affordable by all citizens.

(b) Distance involved between sponsible offices. Centralization of registration offices

(c) Lack of sufficient skills and technology
Improving level of technology to make it possible to simplify the process online instead of physically moving from place to place.
Introduction = 01 mark
Main body 6 points @ 02 marks = 12 marks
Suitable conclusion = 02 marks

10. Effect of wholesaler withdrawal
(a) Lack of direct link to the retailer
(b) Manufacturer will be required to passes larger strong facilitate
(c) Lack of financial support to the manufacture
(d) Lack of feedback from other agents
(e) Retailers, will lack financial support from wholesaler
(f) Retailers will suffer especially by buying in bulk from manufacturers
Introduction = 1.5 marks
Main body 6 points @ 02 marks = 12 marks
Suitable conclusion = 1.5 marks

11. Why many established companies cease operation?
    (a) Failure to commerce business operation after being incorporated.
    (b) Bankruptcy
    (c) High competition from foreign companies
    (d) Failure to adjust with changes in science and technology for example failure of companies like Nokia, Hitachi to cope with assent level of development.
    (e) Acting against the objectives of its establishment.
    (f) Agreement among owners to voluntarily stop the operation.
    (g) Order from the court **Introduction = 1.5 marks**
    Main body 6 points @ 02 marks = 12 marks
    Suitable conclusion = 1.5 marks
    15
    TOTAL 100 Marks